

A company plans an **IPO** by issuing **20 crore new shares** and offering **10 crore existing shares** for sale. The **IPO price band midpoint is ₹150 per share**.

At the time of IPO, the company has **Net Debt of ₹300 crore**. The **IPO expenses are ₹200 crore**, paid from primary proceeds.

The company reports **EBITDA of ₹800 crore** and comparable listed firms trade at an **EV/EBITDA multiple of 10×**.

ANSWERS

- Equity Value Implied by Comparables: 7,700 crore
- Enterprise Value of the Company: 8,000 crore
- Gross Primary Proceeds: 3,000 crore
- Net Primary Proceeds: 2,800 crore
- Post-money Equity Value after IPO: 10,500 crore
- Post-IPO Net Debt: –2,500 crore
- Post-IPO EV / EBITDA Multiple: 10x